

MURRAY v. SUCHY

20CV45088

PLAINTIFF'S MOTION FOR LEAVE TO FILE FIRST AMENDED COMPLAINT

This is a dispute between neighbors involving allegations of trespass, nuisance, and – among other things – destruction of trees. Before the Court is plaintiff's motion for leave to file a First Amended Complaint, intended to consolidate allegations from the original and supplemental pleadings, and to add two new causes of action under Civil Code §3346. Plaintiff would also like to increase the number of "Doe" placeholders from 10 to 20. There is no opposition filed. According to the proof of service, notice of the motion was timely provided to defense counsel. According to plaintiff's counsel, defense counsel declined to stipulate to the request for leave.

To amend a pleading already at issue, the sponsoring party is required first to seek leave of court by way of noticed motion. (CCP §473(a)(1).) Pursuant to CRC 3.1324, the moving party must specify in the moving papers by page, paragraph, and line number the allegations proposed to be added and/or deleted; and include with the moving papers both a copy of the proposed amended pleading, a declaration specifying the effect of the amendment, why the amendment is necessary and proper, when the facts giving rise to the amended allegations were discovered, and the reasons why the request was not made earlier. Although the supporting declaration does not address the "when" or "why," the clear inference is that plaintiff's former counsel dropped the ball. Relief is therefore warranted, particularly because requests for leave to amend a pleading to conform to what the pleader actually knows are to be granted whenever possible, so long as doing so does not result in undue prejudice to the other side. (See *Howard v. County of San Diego* (2010) 184 Cal.App.4th 1422, 1428; *Central Concrete Supply Co v. Bursak* (2010) 182 Cal.App.4th 1092, 1101-1102.) Prejudice exists where amendment would require delaying the trial, resulting in loss of critical evidence, or significant added litigation burden/costs. (*Magpali v. Farmers Group* (1996) 48 Cal.App.4th 471, 486-488.) Nothing of the kind is apparent here. (See *Melican v. Regents of University of California* (2007) 151 Cal.App.4th 168, 175-176.)

Motion GRANTED. Plaintiff shall file and serve a First Amended Complaint within 10 days. The Clerk shall provide notice of this Ruling to the parties forthwith. Plaintiff to prepare formal Orders pursuant to Rule of Court 3.1312 in conformity with these rulings.

HARDISTY, et al. v. LAGUNA GOLD MORTGAGE, et al.
19CV44041

DEFENDANTS' MOTION TO VACATE REFEREE DECISION

This case involves a convoluted dispute over encumbrance arrears and ownership interests associated with certain real property presently used as a sober recovery home. The action was commenced by way of a verified complaint filed on 04/03/19, which was the subject of several pleading attacks. Certain aspects of this dispute (discussed *infra*) were referred to a referee for decision. Defendant seeks an order “vacating” that decision, while plaintiff seeks an order confirming the decision. Although the parties (and at times, this Court) have liberally referred to the reference as an “arbitration,” it was in actuality a consensual reference per CCP §638 et seq. References of this nature are not subject to trial court review for confirmation, correction or vacation as would an arbitration award. The referee’s decision must be entered as the judgment. While that does not foreclose post-judgment relief, defendant’s present motion to vacate is DENIED without prejudice. Plaintiff’s related request to enter the decision as a judgment is technically moot, but GRANTED in spirit.

Factual Background

In 2005, plaintiffs Kathy Hardisty and Kenneth Kelley borrowed \$250,000 from East-West Bank, and another \$182,000 from the SBA, in order to purchase APN 044-005-023 (commonly referred to as 556 Toyon Drive, San Andreas, California), a 15-bedroom, 7,600 sq ft residence sitting on a half-acre lot (hereinafter “Subject Property”). Plaintiffs intended to use the Subject Property for a senior retirement home. Both loans were secured by deeds of trust (East-West being 1st DOT, and SBA being 2nd DOT).

In 2014, plaintiff Hardisty decided she had had enough of operating a retirement home, and reached an agreement with co-plaintiff Kelley to buy her out of the venture (both the business and the Subject Property) for \$650,000. Hardisty accepted a promissory note secured by a 3rd DOT to the Subject Property. Kelley made monthly payments on all three encumbrances, paying the principal down on each, until he did not. Complaints, and alleged malfeasance, eventually led to the revocation of Kelley’s operating license.

On 02/19/16, plaintiffs executed a modification to the loan agreement with East-West Bank. The agreement contained a Judicial Reference alternative dispute resolution clause pursuant to CCP §638 et seq. Pursuant thereto, the parties agreed that a private judge would “decide all issues in the action or proceeding, whether of fact or law,” and would further “determine all issues relating to the applicability, interpretation, and enforceability” of the ADR reference agreement.